

Sometimes an existing partner may also gain in share of profit on admission of a partner when the new share is greater than the old share. In this case, the gaining partner has to compensate the sacrificing partners to the extent of his share in the total goodwill of the firm.

Calculation of sacrificing ratio and new profit sharing ratio under different situations

1. When new profit sharing ratio is given

When new profit sharing ratio is given, sacrificing ratio has to be calculated as follows:

Sacrificing ratio = Ratio of share sacrificed by the old partners

Share sacrificed = Old share - New share

Illustration 8

Anbu and Raju are partners, sharing profits in the ratio of 3:2. Akshai is admitted as a partner. The new profit sharing ratio among Anbu, Raju and Akshai is 5:3:2. Find out the sacrificing ratio.

Solution

Old ratio of Anbu and Raju = 3:2 that is, $\frac{3}{5}:\frac{2}{5}$

New ratio of Anbu, Raju and Akshai = 5:3:2 that is, $\frac{5}{10}:\frac{3}{10}:\frac{2}{10}$

Share sacrificed = Old share - New share

Anbu $= \frac{3}{5}-\frac{5}{10}=\frac{6-5}{10}=\frac{1}{10}$

Raju $= \frac{2}{5}-\frac{3}{10}=\frac{4-3}{10}=\frac{1}{10}$

Sacrificing ratio of Anbu and Raju is $\frac{1}{10}:\frac{1}{10}$ that is 1:1

2. When new profit sharing ratio is not given

(a) When share sacrificed is given

When new profit sharing ratio is not given, but the share sacrificed by the old partner(s) is given, new profit sharing ratio is calculated as follows:

New share of old partner	= Old share - Share sacrificed
Share of new partner	= Sum of shares sacrificed by old partners

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